

# Auto Loan Policy

Last updated: January 2025

## Overview

This policy describes financing for the purchase of new and used vehicles, as well as refinancing of existing auto loans. An auto loan is secured by the vehicle, which serves as collateral. This policy covers eligibility, loan terms, the vehicle requirements, the application process, and what happens in the event of default.

## 1. Loan Types And Terms

### *1.1 New Vehicle Loans*

Financing for the purchase of a new vehicle from a dealership. Terms range from 24 to 84 months.

### *1.2 Used Vehicle Loans*

Financing for used vehicles purchased from a dealer or in a private-party sale. Terms range from 24 to 72 months and depend on the vehicle's age and mileage.

### *1.3 Auto Refinance*

Refinancing an existing auto loan held with another lender, typically to lower the rate or monthly payment. The vehicle must meet current eligibility requirements.

### *1.4 Lease Buyout*

Financing to purchase a vehicle at the end of a lease term. The buyout amount must not exceed the lender's permitted loan-to-value limit.

## 2. Loan Amounts And Loan-To-Value

### *2.1 Amount Range*

Auto loans range from \$5,000 to \$150,000 depending on the vehicle and the borrower's qualifications.

### *2.2 Loan-To-Value Limit*

The maximum loan-to-value (LTV) ratio is 125% of the vehicle's value as determined by a recognized valuation guide. The portion above the vehicle value may cover taxes, fees, and an approved extended warranty.

### *2.3 Down Payment*

A down payment is not always required but reduces the loan amount and may improve the rate. A larger down payment lowers the risk of negative equity.

## 3. Vehicle Requirements

### ***3.1 Eligible Vehicles***

- Passenger cars, SUVs, light trucks, and vans for personal use
- Vehicles titled in the borrower's name or to be titled at purchase

### ***3.2 Age And Mileage Limits***

For used-vehicle financing, the vehicle generally must be 10 model years old or newer and have fewer than 120,000 miles at the time of financing. Exceptions may apply for certified pre-owned vehicles.

### ***3.3 Ineligible Vehicles***

- Salvage, rebuilt, or branded-title vehicles
- Commercial or fleet vehicles
- Recreational vehicles, motorcycles, and boats (financed under separate programs)
- Vehicles used for ride-share as a primary occupation, unless disclosed and approved

## **4. Eligibility**

### ***4.1 Minimum Criteria***

- At least 18 years of age with valid government identification
- Verifiable income sufficient to support the payment
- A valid driver's license

### ***4.2 Credit Requirements***

A minimum FICO score of 620 is generally required for approval. Borrowers with lower scores may qualify with a larger down payment, a co-signer, or a shorter term at a higher rate.

### ***4.3 Debt-To-Income Ratio***

Total monthly debt, including the proposed auto payment, should not exceed 45% of gross monthly income.

## **5. Interest Rates And Fees**

### ***5.1 Rate Factors***

The APR depends on credit score, loan term, vehicle age, and whether the vehicle is new or used. New vehicles generally receive lower rates than used vehicles.

### ***5.2 Rate Range***

APRs range from 5.49% to 18.99%. The rate is disclosed before the borrower accepts the loan.

### ***5.3 No Prepayment Penalty***

Borrowers may pay off an auto loan early at any time without penalty.

### **5.4 Late Fee**

A late fee of 5% of the overdue payment, up to a maximum of \$25, applies when a payment is more than 10 days past due.

## **6. Application And Funding**

### **6.1 Preapproval**

Borrowers may obtain a preapproval before shopping, valid for 30 days, stating the maximum amount and rate. Preapproval strengthens negotiating position at the dealership.

### **6.2 Dealer Financing**

When financing through a partner dealership, the dealer submits the application on the borrower's behalf and the loan is funded directly to the dealer.

### **6.3 Private-Party And Refinance Funding**

For private-party purchases and refinances, funds are disbursed once the title work is complete and the lender is recorded as lienholder.

### **6.4 Title And Lien**

The lender is recorded as the lienholder on the title until the loan is paid in full. The title is released to the borrower after final payment.

## **7. Insurance Requirements**

### **7.1 Comprehensive And Collision Coverage**

The borrower must maintain comprehensive and collision insurance on the financed vehicle for the life of the loan, with the lender named as loss payee.

### **7.2 Lapse In Coverage**

If the borrower's insurance lapses, the lender may purchase force-placed insurance and add the cost to the loan. Force-placed insurance is typically more expensive and protects only the lender's interest.

## **8. Repayment**

### **8.1 Monthly Payments**

Repayment is made in equal monthly installments of principal and interest, beginning approximately 30 to 45 days after funding.

### **8.2 Autopay Discount**

Enrolling in automatic payments qualifies for a 0.25% APR reduction while autopay is active.

### **8.3 Negative Equity**

If the loan balance exceeds the vehicle's value (negative equity), the borrower remains responsible for the difference if the vehicle is sold or totaled. GAP coverage can address this risk and is optional.

## **9. Default And Repossession**

### ***9.1 Default***

The loan is in default after a payment is significantly past due or insurance is not maintained, as specified in the loan agreement.

### ***9.2 Repossession***

Upon default, the lender may repossess the vehicle in accordance with state law. The vehicle may be sold to recover the debt.

### ***9.3 Deficiency Balance***

If the sale proceeds are less than the remaining balance plus costs, the borrower is responsible for the deficiency. Any surplus is returned to the borrower.

### ***9.4 Reinstatement***

In many states the borrower may reinstate the loan before sale by paying the past-due amount plus repossession costs. Reinstatement rights vary by jurisdiction.

## **10. Contact**

Our auto lending team is available Monday through Friday 8 AM to 8 PM and Saturday 9 AM to 4 PM by phone at 1-800-555-0173, by secure message in the online portal, or by email at [autoloans@bankexample.com](mailto:autoloans@bankexample.com).